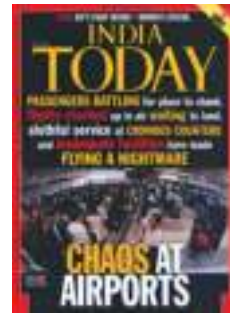
FROM THE
EDITOR-IN-CHIEF

Most Indian fliers would agree that IndiGo built an empire not on glamour or gimmicks, but on doing the simplest thing: taking off and landing on time. Indians trusted it because it did the job with astonishing efficiency. IndiGo's 2,300-odd daily flights operated like clockwork. It was moving half a million passengers to over 90 domestic and 45 international destinations without fuss, and for reasonable fares. As rivals collapsed—Kingfisher, Jet, Go First—IndiGo only grew stronger on its operating credo of ruthless efficiency. Its 6E rose to near-monopoly status, with over 60 per cent share of the Indian skies. Even in the US, the world's largest aviation market, the biggest domestic airline has only 21 per cent market share. IndiGo's profit after tax also stood at Rs 7,258 crore in FY25. Briefly, in April, it even became the world's most valued airline by market capitalisation.

Much of this success owes to its minimalist business model: shaving costs, maximising productivity, ensuring a Cost per Available Seat Kilometre (CASK) of Rs 3.71—the lowest among Asian airlines. Its secret sauce was an elegant form of thrift. It operated on a single aircraft family: its massive fleet of some 400 is all Airbus. Planes make money only when flying. IndiGo's aircraft did that more than others, with lightning-fast turnarounds that filled out 12-hour utilisation targets. Seating was dense. No hot meals in the air meant less weight and fuel burn. Crew procedures, standardised in its own iFLY training hub, ensured labour efficiency. Its pilot-to-aircraft ratio dazzled analysts: around 13 pilots for every aircraft, as against about 34:1 for Air India's main fleet. IndiGo managed all this because its allocation of resources was razor-sharp. The central irony of this week's cover story is that it would impale itself on this very edge.

The eruption of chaos in early December shocked everyone. In a handful of days, over a million passengers were stranded as an estimated 5,000-plus flights were cancelled or severely delayed. Between December 4 and 6, 2,948 domestic flights vanished from the skies; December 5 accounted for an astonishing 1,588 cancellations, 78 per cent of IndiGo's flights. Airport terminals looked worse than railway stations, with luggage piling up unguarded, often travelling to the wrong destination. Rivals resorted to surge pricing. As airfares soared, Indigo's reputation crashed to the ground.

How did IndiGo lose control so spectacularly? The roots lie in a reform India urgently needs: new Flight Duty Time Limitations (FDTL), or fatigue management rules that determine how long pilots can fly and how much rest they must receive. For years, India lagged behind global norms. After legal battles and expert consultations, the Directorate General of Civil Aviation (DGCA) issued revised standards in January 2024 and gave airlines nearly two years to prepare. Pilot flying hours were cut, mandatory rest raised from 36 to 48 hours, night duty redefined, weekly night landings slashed from six to two. In all, 22 norms, implemented in two phases, on July 1 and November 1. The carrier most exposed to the new rules was IndiGo. No other airline had built itself so completely on the principle of lean efficiency. The new fatigue norms clipped pilot availability. Did IndiGo prepare? Evidence suggests it did not. Despite advance notice, it went slow on pilot hiring. In fact, inexplicably enough, instead of increasing its pilot strength, IndiGo reduced it from 5,463 this March to 5,085 by December. In short, it hedged, apparently assuming delayed aircraft deliveries and its own stature would allow it wiggle room.



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Late November to early December, bad weather began to detain IndiGo's pilots: Cyclone Ditwah in the south, fog in the north. With manpower buffers already wafer-thin, the rostering software began jamming. It was attempting to solve an impossible problem: pairing fewer legally rested pilots with more aircraft. Experts think it was not just a mathematical wall, but the inevitable outcome of a business model stretched beyond its structural limits. The regulator's perfunctory approach matched IndiGo's failure. On the surface, the DGCA held multiple meetings with airlines, reviewing their progress. But it relied heavily on airlines' own declarations. How was IndiGo allowed to reassure the system right up to the point of rupture? It's a carrier with significant influence; its board is stacked with star directors. The regulator's job is not to unquestioningly offer liberty, but to be eternally vigilant. If it had ensured the IndiGo management was adjusting to the new fatigue-based work protocol in earnest, the system wouldn't have been thrown off its groove. IndiGo management did not cover itself in glory either, obfuscating the reasons for the mess.

The meltdown has reignited a key question: how do we discipline a dominant airline without destabilising the entire sector? Civil aviation minister K. Ram Mohan Naidu says India has room for five more airlines. Well, only if we first address the two forces that crush carriers today: over-regulation and over-taxation. In India, some 30-40 per cent of operating costs are due to steep taxes, as compared to an average of 25 per cent in America. Its dominance may have led IndiGo to feel regulators could be held hostage to it, and grant it forbearance. Its empire was built on efficiency. It must now rebuild by not sailing so close to the wind and give safety priority over profits. India cannot afford the collapse of its only runaway aviation success.

(Aroon Purie)